

AEROSPACE SUPPLY CHAIN RISK INTELLIGENCE

State of WI

HIGH

COMPOSITE RISK	HHI SCORE	CONTRACT VALUE	RECIPIENTS
100.00	10000.00	\$7.31M	2

Executive Summary

Wisconsin's aerospace supply base presents extreme concentration risk, with a composite score of 100.00 driven by a two-recipient oligopoly controlling \$7.3M in federal contracts. The segment exhibits maximum market concentration (HHI 10,000), indicating effective single-source dependence at the state level.

Risk Drivers

- **Maximum market concentration:** HHI of 10,000 reflects a theoretical monopoly or duopoly structure across only 2 contract recipients, eliminating competitive alternatives within the state.
- **Minimal contracting scale:** Total contract value of \$7.3M represents negligible federal procurement activity, suggesting limited industrial depth and possible reliance on niche capabilities that cannot be easily re-sourced.
- **Binary supplier risk:** With only 2 recipients in the database, any single supplier disruption immediately eliminates 50% of the state's visible aerospace capacity, creating step-function vulnerability for dependent programs.

Market Context

Wisconsin operates as a marginal participant in U.S. aerospace procurement, with contract volume three orders of magnitude below major production states. The two-recipient base likely reflects specialized sub-tier machining or component manufacturing rather than integrated aerospace OEM presence. This thinness is consistent with Midwest aerospace patterns where historical manufacturing infrastructure supports niche supply chains but lacks the scale of coastal aerospace clusters. The extreme HHI indicates no meaningful competition exists within state borders-programs sourcing from Wisconsin likely do so for specific technical capabilities that have not attracted redundant suppliers.

Recommended Actions

- **Immediate dual-source validation:** Program managers must verify that both Wisconsin recipients are not serving the same critical programs; if so, establish qualified out-of-state alternates within 90 days.
- **Technical data package audit:** Ensure government holds sufficient TDP rights for Wisconsin-sourced components to enable emergency re-procurement if either supplier exits, given zero in-state backup options.
- **Tier-down supply chain mapping:** Procurement should trace Wisconsin recipients' own suppliers to identify hidden concentration points, as \$7.3M likely represents final assembly rather than vertically integrated production.